

No counterparty would reveal whether, and how much, he wanted to buy or sell. All he would do was ask for quotes from the jobber.

A typical conversation between the two would run on these lines:

‘What is the quote for Arvind Mills?’
‘57-60.’ (I will buy from you at 57 and sell to you at 60)
‘What quantity is this valid for?’
‘500 shares.’
‘I want to sell 500 shares.’
‘Okay, bought 500 shares from you at 57.’
‘Does your quote hold good for another 500?’
‘Yes.’
‘Okay, I want to sell another 500 shares.’
‘Bought 500 from you at 57.’
‘I want to sell another 500. What’s your quote?’
‘56-59.’
‘Okay, I am selling 500 more to you.’
‘Bought 500 from you at 56.’
‘How about 500 more?’
‘55-58.’

As the client keeps selling more, the jobber will keep lowering the bid-ask quotes, but not necessarily the spread, which will remain Rs 3. That is because the jobber is now running up a plus-position, and his profit will depend on how cheap he can get the shares.

A good jobber will move in and out of positions as many times as he can for a small profit each time. His aim is to make a decent profit through a series of small profits instead of through one giant trade.

The more heavily traded the stock, the smaller will be the jobber’s spread, because there will be plenty of buyers and sellers. For an illiquid stock, the spread would be wider, and at times even outrageous if a jobber enjoyed a near monopoly in that stock. There were different categories of jobbers, depending on the risk they were willing to take.

A jobber also had to have the instinct to figure out who the ultimate buyer or seller of the shares he dealt in was likely to be. Sometimes the counterparty would have information the jobber was not privy to, and the jobber might end up buying or selling a stock, unaware that the die was loaded against him.

A broker transacting with a jobber could be acting on his own behalf, or on behalf of a retail client, an institution or even the promoter of the company whose shares he was trading in. When a promoter is behind a